



Janaína Storti – Head of IR

Good morning everyone. I'm Janaína Storti, Head of Investor Relations at Banco do Brasil, and it's a pleasure to have you here with us on our 4th quarter 2024 earnings live stream. Our event will be held in Portuguese with simultaneous translation into English. And you can choose between 3 audio options, original Portuguese or English. Today we have the presence of our President, Tarciana Medeiros, our CFO, Geovanni Tobias and our CRO, Felipe Prince. We will start with Tarciana speech, followed by the question and answer session. Please remember that already for some quarters we've been providing the video of the commented results by our CFO and the night before our call on our Investor Relations website. Now I turn the floor to our President, Tatiana.

Tarciana Medeiros – CEO

Good morning, everyone. It is a pleasure to be here again, to share with you the results achieved in the last year and present our perspectives for 2025. In 2024, we completed two years of our management and reaffirmed our ability to honor what we set out to do, delivering for the second consecutive year on our guidance as a result of the quality and discipline in the execution of our strategy. We delivered our commitments to generate value, with diversified operations and responsible credit growth based on the proximity and specialization in phygital service to our customers. We also advanced the technology and innovation agenda and consolidated ourselves as the most sustainable bank in the world for the 6th consecutive time. We'll address all of these points in more depth during the presentation. We achieved an adjusted net income of R\$ 37.9 billion, an increase of 6.6% in the year. This action made it possible to payout more than R\$ 85 billion of added value to society.

We advanced in loans exceeding R\$ 1 trillion and 278 billion at the end of 2024, an increase of more than 15%. We supported our clients, strengthened their leadership and were ready to reach new heights, attentive to the challenges and opportunities of the scenario. The balance between our main portfolios built over the years is a strength of BB and it's the only bank in this industry with such a balance in the formation of portfolios. It was essential for us to go through the year in a harmonious and healthy way, considering the best relationship between risk and return. In loans to individuals, we reached R\$ 336 billion in the portfolio, an increase of 7% in the year. And despite all the competition in payroll loans, we have increased our market share to more than 20%. I highlight here our performance in the INSS payroll loan with the disbursement of R\$ 37 billion since we declared that we would seek our fair share of the market. In 2024 alone the disbursement in this line grew by 53%. On our corporate portfolio, we showed significant growth of 18% in the year.

We believe in entrepreneurship as the driving force of the Brazilian economy. The portfolio for SMEs exceeded R\$ 125 billion and we evolved in the specialized model for companies with revenues between R\$ 15 million and R\$ 50 million, bring it to the market a new segmentation of high retail companies, which already has seven dedicated branches. We also advanced in the specialization of wholesale customer service, expanding the segments NPS and exceeding R\$ 258 billion in the credit balance for large companies. Working with these customers strengthens the value chains, which is in our strategy making the entire wheel of the economy turn with investments and capabilities and capital markets especially favoring small companies that supply large ones.

Also, part of our growth strategy with companies is that disbursements in lines of government programs that have guaranteed funds such as FGO Pronampe, FGO Procred 360 and PEAC FGI, which together reached disbursements of R\$ 12.4 billion realized in the year. I also highlight the growth in the government portfolio, which reached R\$ 78 billion, especially in investment operations, which contribute to the development of the country and are also guaranteed by the National Treasury.



Now let's talk about Agri business, which closed the year with a growth of almost 12% in which in January already reached the mark of R\$ 400 billion. In 2024, we saw the delinquency of this portfolio rise and we intensified our support remaining close to farmers who seek a sit at a table with us for negotiation. We continue to see an increase in cases of in court reorganization, which already represents almost 20% of non-performing loans in Agri business in more than 250 customers. The mechanisms present in the rural credit manual support producers who were impacted by the challenges of field in the last harvest.

We have reaffirmed here our commitment to offer technical and financial support to our partners at all times. Our capital remains at robust level closing the year at 10.89%. Here we had an impact from the mark to market effects on Private Securities due to the strong movement of the opening of the interest rate curve in the last quarter of 2024. As the curve returns this mark to market impact tends to recede. We understand that the 11% range is our optimal point where we find efficiency in the use of our capital and support for our growth ambition. In this context of greater volatility and considering our capital plan with a three-year horizon, the Board of Directors established a range between 40% and 45% for the 2025 payout. Within our purpose of being close to our customers, we are focused on offering the best experience promoting and further accelerating our digital transformation and ensuring business sustainability. In the last two years, we have more than doubled our investment in technology, with advances in the phygital journey of our customers in the development of our employees' digital skills.

We are reinforcing our agile teams, and I want to highlight here the call for another thousand colleagues still in the first half of the year to reinforce the areas of technology and cybersecurity. They will join the more than 65,000 employees who have already been trained in the past two years in artificial intelligence, data science and other aspects of technology and who are increasingly prepared to innovate. These investments also deepen the use of artificial intelligence and analytics. There are already more than 1000 use cases in AI, ranging from credit risk models to our CRM platform, which is increasingly more powerful with hundreds of millions of insights and business recommendations.

Thus, our relationship and our offers become more fluid and assertive, this platform doubles our business effectiveness, increasing productivity of our sales team. The hyper customized service that we've been talking about to you for at least two years is reflected in the positive perception of our customers. Considering the significant evolution of our service metrics. We achieved the highest NPS in our history with growth in all segments, positioning us as one of the largest in the industry. Our overall satisfaction is in the level of excellence. These indicators are confirmed by the Central Bank's ranking of complaints, where we achieved the unprecedented mark of 10 consecutive quarters with the best result among the main financial conglomerates. Which reflects a continuous commitment to excellence in customer service. We are already a reference in how to combine the best of digital with the proximity of human service and we will continue to reinforce and expand our synergy differential between the channels such as Ponto BB which perfectly integrates physical and digital channels in an environment of innovation, business and reinforcement of BB's brand attributes.

The first Ponto BB at Porto Digital in Recife has already received more than 72,000 visitors since it opened, and we have seen a 7% increase in the new customer base. This successful experience makes us believe that having Pontos BB exploring the potential of each region in a customized way, is the path to be even closer to our customers, reinforcing our purpose. And when we talk about relationship and proximity, I emphasize that we are far from expanding specialized service and our ambition this year is to reach 10 million assisted customers. In addition to bringing proximity and resolution, these customers have a higher principality index with BB and a 10 times higher profitability. BB has always been at a forefront of the creation of high-income service models.

Today we have the network with the largest capillarity in Brazil. We are present not only in large



centers but in cities throughout the country where the generation of wealth and new businesses emerge all the time at an impressive speed. In 2025 we will further strengthen the service to BB Estilo customers. Our focus will be to intensify the proximity and offer of exclusive solutions for this public by expanding the performance of the high Estilo segment to more cities after the success of our pilot program in three capitals. This year, we made strong progress in sustainable business. We were pioneers back in early 2024 in declaring the sustainable, sustainable portfolio. Reaching the high end of the target, with growth of almost 13% reaching R\$ 387 billion, we also stood out in the volume of sustainable funding which exceeded R\$ 6.6 billion with investors and technical cooperation agreements with multilateral bodies this year alone. We are leading players in the carbon credit business and we see it as an important line of growth. We have already reached 755,000 hectares preserved or recovered with a goal of 1,000,000 by the end of this year. And we will not stop there in 2025 Brazil will host COP 30 in Belém, and you can already expect a performance as great as the bank that carries the country in its name. We have been present at the main forums on the subject, from New York to Cali, and I'm sure that Belém will be a milestone for an increasingly sustainable world.

Now I want to bring you our macroeconomic assumptions which are important markers in the construction of our projections and ambitions for 2025. The Brazilian economic scenario this year, although challenging, presents elements that allow us to maintain resilient economic activity. The projections indicate GDP growth of 2.2% reflecting a favorable business environment even during a context of monetary tightening. The agricultural sector is one of the main drivers of the economy and in 2025 we forecast a growth of 6% from a record harvest for grains, which increases exports and strengthens the trade balance. We also forecast a Selic rate at the end of the year at 15.25% an inflation at 5.6%. These factors, combined with historically low levels of unemployment, should lead Brazil to go through 2025 with resilience, mitigating the effects of a tighter monetary policy. Based on the scenario, I'd like to share with you our strategic vision and the opportunities we are embracing this year. Banco do Brasil credit growth will continue to be sustainable and balanced with an origination mix that is consistent with our role. Consistent with our role in Brazilian society and benefiting from the opportunities of our operations in every corner of Brazil, we will continue to be leaders in payroll loans in all its verticals with public servants from INSS and private payroll loans now with the opportunity of eSocial. On non payroll credits there are two growth verticals. The first for strategic professionals and the second is on credit cards.

On credit for companies, with a higher interest rate scenario, we must be cautious in management of our business, and we know how much financial expenses impacts the results of companies, especially smaller companies and that's why we have efficient strategies to mitigate these effects and guarantee sustainable growth. As I mentioned we also have lines of government programs with emphasis on FGO Pronampe, in which we are leaders. As for Agribusiness, we see a scenario of normalization of the base of growth in a context of risk the requires us to make a more prudent stance.

We will continue to honor the relationship with our Agribusiness customers who have been growing with us and with the country for generations. In the dynamics of revenues and expenses, we'll continue to invest in the relationship and proximity with customers with integrated beyond credit. The scenario is constructive for asset management at BB asset for the growth of consortium and the insurance pension plan and premium bonds businesses. I must also mention the movement with Cielo's delisting, where our focus is on the principality of the SME customer with the comprehensive look at their needs. In 2024 we have already put some innovations to work. So, with tap on phone and contactless Pix payments and in 2025 we will accelerate this movement. In other words, the group's companies continue to be relevant in the diversification of revenues, acting in synergy and complementarity with our branch.

We will continue to be strict in controlling expenses without neglecting investment in technology, which are crucial for the modernization of our business. I conclude by thanking each one of our 125,000 employees of the Banco do Brasil conglomerate who built this result every day. You were the first to drive the company and I also thank our customers, shareholders



and partners. Banco do Brasil remains firm, solid and ready to build an increasingly better future. Thank you very much and will now begin our question and answer session.

Q&A session

Janaína Storti – Head of IR

Thank you very much, Tarci. We will now begin the Q&A session and the questions can be asked both in Portuguese and in English. And I would like to ask the analysts to just ask one question please, so that we can have everyone participating here with us. Our first question comes from Danielle Vaz from Safra. Daniel, please. Good morning.

Daniel Vaz – Safra

Good morning, Jana. Good morning, everyone. Tarciana, Geovanne and Prince, thank you very much for this opportunity. I would like to talk about your guidance. You have a long portfolio of 7.5% and there are some differences according to the different segments. We have more of individuals and less of agribusiness and corporate. I would like to go over that area. You went the year at 15% of growth year on year and I would like to understand what is your focus to grow in 2025 for this portfolio. If you can break that down between wholesale and SME and the lines that you are going to explore in your guidance. That would be great for us to understand where you are going to get at wholesale loans.

Geovanne Tobias – CFO

Thank you, Daniel. Yes, the growth was significant by the end of the year in our companies portfolio. In here we have as in SMEs, large and corporate, and we are carrying all of them in there. We did have an increase of over 30%. And these were opportunities that we foresaw in the capital market, but it's important to mention that we have a more challenging environment for companies and we believe that we have companies, for instance, exporting companies will be benefited. And then they could be working closer to us, we fund the Brazilian markets and exports in about SMEs. We are also working very specifically with government lines such as Pronampe as Tarciana mentioned and we intend to keep that proximity to these clients, but always watching for the risk return equation, considering our NII. You saw an increase of our SMEs NPLs in 2024. We were able to control it.

Therefore, when you look at the corporate segment, it is very different. There are some companies, especially large ones, having opportunities through the capital market, where we intend to grow more. For micro and small businesses, we will maintain this growth within the middle of this Guidance, largely due to these specific funds that we have access to in partnership with the government. I don't know if Prince would like to shed more light on the corporate portfolio.

Felipe Prince – CRO

Perfect, Geovanne. I think we can add our performance in the value chain, which remains quite robust. So, the focus is to maintain the profitability balance of this portfolio and this profitability, obviously, in micro and small businesses, we mainly use the FGO Pronampe, which we administer, and this line brings a risk-adjusted return that is quite adequate for us to maintain service and support to this business niche. We strongly leveraged the FGI in 2024; it was a line that we sought to prioritize customer assistance via Pronampe, but we observed a very favorable opportunity to target the market, especially the middle market with the FGI,



and thus 2024 was a year of record disbursements for Banco do Brasil in the FGI. For large companies, we maintain our global customer service strategy, obviously seeking to offer solutions when these companies need them, but always making use of our capacity to distribute and allocate securities in the capital market. So, I think this is the mantra. It is responsible growth of this portfolio while maintaining profitability, which we even expect to increase. As Geovanne himself mentioned, we are in a process of stabilizing credit risk, especially in small and medium-sized businesses, which we are quite confident will drive profitability in 2025

Daniel Vaz – Safra

Perfect. Thank you very much.

Janaína Storti – Head of IR

Obrigada. A nossa próxima pergunta vem do Bernardo Guttmann, da XP is from Bernardo Guttmann from XP.

Bernardo Guttmann – XP

Good morning, everyone. Thank you for the opportunity to ask a question. I have a question about the bank's capital level. Despite the reduction in the quarter, you conveyed a very constructive message of organic recovery throughout the year. So, I would like to understand a little better the elements here. Why are you confident in restoring the capital ratio, even in the face of the impact of Resolution 4966? Thank you.

Geovanne Tobias – CFO

Thank you, Guttmann. It is important for you to keep in mind that a small part of our capital ratio was impacted mainly by the volatility we saw in December. If it weren't for that, we would have an ICP around 11%. We have been saying this, which would be a more sustainable capital ratio for us. We started 2023, without a doubt, with a very robust capital ratio, so much so that we proposed increasing our payout throughout 2024, but keeping an eye on the regulatory adjustments that would occur. Today, we have more visibility on the impact of Resolution 4966 and the idea of proposing a payout working in a range of 40% to 45%. In 2023, we distributed 40%. In 2024, 45%. But we have a medium-term view, already looking at the next 3 years and aiming for this balanced ICP, around 11%. As we generate these organic results, we will have the flexibility to distribute more dividends. We are aiming for the high end, at 45%. We cannot overlook the rural portfolio, which still requires attention. We are still experiencing this phenomenon of judicial recoveries (RJs). There are approximately 300 clients, with almost 3 billion reais of impact on this delinquency. We are in this transition from incurred loss balance to expected loss. So, prudently, we chose to propose this range, where we have the flexibility to optimize this capital structure while adequately remunerating our shareholders. Preserving the solidity of a sustainable result over time. So, basically, I don't know if Prince has anything else to add here regarding this, but this is our strategy in managing this capital.

Felipe Prince – CRO

Perfect. Guttmann, just to understand how constructive we are. As Geovanne mentioned, we had an impact from the year-end volatility. Obviously, as you noticed, the market has balanced out. This market equilibrium brings with it a recomposition of this capital, which is obviously very similar to the financing of the implementation of Resolution 4966. So, we start 2025 with a very robust and reinforced balance sheet. This transition account, let's call it that, ends up being balanced by the return and normalization of the market, both in terms of exchange rates and interest rates, and now, obviously, it is our capacity for organic generation so that we can



both adequately remunerate our shareholders and finance the growth of our activities. So, we are quite confident that we are starting from a relevant point to drive the expansion of our business, as committed in our Guidance.

Bernardo Guttman – XP

It's a very clear!. Thank you Geovanne and thank you Prince.

Janaína Storti – Head of IR

Thank you, Bernardo. Now turning to the next question, I will invite Tito Labarta from Goldman Sachs.

Tito Labarta – Goldman Sachs

Good morning, everyone. Thank you for taking my question. My question is about provisioning and coverage levels. You mentioned that under Resolution 4966, there was an increase of about 4.6 in expected losses. I would like a better perspective in terms of provisioning and also the NPL formation. Your coverage is dropping to around 170%. How do you see this in the future? Will the implementation of Resolution 4966 increase your coverage? I am also thinking about agricultural delinquencies, which have increased and impacted coverage. Will agricultural delinquencies increase, or do you expect them to improve? Thinking about provisioning, coverage, and the impact of Resolution 4966. If you could talk more about this, it would be great. Thank you.

Geovanne Tobias – CFO

Thank you, Tito. Without a doubt, we expect to see a decrease in agricultural delinquencies during the year. We have already reached a delinquency rate of 2.5%, and 0.5% comes from litigation with some rural producers, as I mentioned. In terms of provisioning level, it is important to look at all the provisioning already accounted for under Resolution 4966. So, you can expect our coverage to be above 200%. As we mentioned earlier, we use provisioning according to overdue credit. With this, we are going through an adjustment period, from when Banco do Brasil did not have an Expected Loss Provisioning Policy. We are implementing this in accordance with Resolution 4966, and for this reason, we had to account for almost R\$ 70 billion in provisioning. That is why Prince mentioned that we now have a robust balance sheet, in our perspective, with strong provisioning coverage to face this expected loss methodology over the years. As long as we continue to increase our personal loan portfolio and, according to our forecasts, we expect to see double-digit improvement in this portfolio, with an improvement in risk-adjusted return on payroll loans, not only for public servants but also for the private sector, which will be implemented according to what was informed by the Federal Government, we will be able to improve the situation of this lower-risk portfolio. As a future perspective, we should also see an improvement in the agricultural portfolio. The expectation is that in 2025 we will have the best harvest in Brazil's history. In other words, the outlook for this sector in Brazil is quite positive. In the meantime, we are facing these provisioning challenges for the portfolio, but we can expect it to start improving.

Tito Labarta – Goldman Sachs

Great, Geovanne. Thank you.

Janaína Storti – Head of RI



Returning to the questions in Portuguese, our next question comes from Antônio Ruetter, from Bank of America. I see Renato on my screen, not Antônio. Here is Antônio. Please, Antônio.

Antônio Ruetter – Bank of America

Good morning, everyone. Thank you very much for your time. My question is almost a follow-up to Tito's question. But the idea here is to understand the rural segment a little better as a whole. I think particularly looking at the quarter, the messages, we see two sides. Sometimes positive messages and other times more negative ones regarding the segment, which ends up being conflicting for us. So, for example, on the more positive side, we see this message of a strong harvest, provisions falling quarter to quarter. So, inspiring a more positive tone for the segment. But on the other hand, we see a Guidance that implies a slowdown for the rural portfolio, NPL still rising, and cases of judicial recovery. So, the idea here is to understand a little about growth and delinquency, particularly in the rural segment. Thank you very much.

Felipe Prince – CRO

Perfect, Antônio. I think first we need to address the issue of judicial recoveries, which are responsible for half a point of the delinquency rate we presented in the fourth quarter. Regarding judicial recoveries, we have been running a very strong campaign. Not only in terms of media actions and relationships with government entities and the judiciary, but also through direct engagement with our clients, demonstrating how harmful this type of instrument is for rural producers. Why? Because unlike other segments, the land is there, and if the producer has resources to run the new harvest, they can recover their payment capacity. If you file for judicial recovery, your credit capacity simply ends, and you cannot run the next harvest, thus establishing the next cycles that could lead to the recovery of compliance. We have already seen positive signs. We had judicial recoveries during this period, but in much smaller volumes than in previous quarters.

We attribute this to the direct engagement we have been doing, and the result is seen in the growth of our renegotiated portfolio. Why? Because we present rural producers with solutions that show them that renegotiation while maintaining their credit capacity is what will not only help them recover their activities but also help us recover the credit over time. So, I think this is a positive sign that we will continue to leverage throughout 2025. On the other hand, as Geovanne himself mentioned and President Tarciana highlighted in her introduction, we see contracted expansion in the field. This is not only confirmed by market numbers we follow. We have several rural technical analysts, as we call them, who are our staff visiting our clients daily and confirming that we will indeed deliver a record harvest. With this, we open space for revenue in the field. What happens? Revenue is not always margin. So, we still have a context of price pressure on two main commodities: soybeans and corn. Where, often, especially for producers who have expanded significantly in the Midwest, the margin these crops provide is not enough for the deleveraging of these producers. This is what we call, first, being close and, second, offering the best solutions to enable the repayment of these debts.

So, we need to deliver solutions to the producer where this payment fits within the margin they will deliver this year, with the prospect of these margins improving for the following harvests, and then we close the cycle as we have always done throughout history, receiving from these clients and stabilizing our delinquency. Now, obviously, these operations, unlike traditional credits, are not paid in installments. A cost, for example, has to be paid off all at once after the harvest. Obviously, we need to structure solutions that allow the payment of this cost, ensuring the activity cycle for the next harvest and gradually reducing the producer's leverage. So, there is no magic. It won't happen overnight.

But, in the medium and long term, we are quite constructive with the control of agricultural delinquency and have full capacity to continue delivering successive record results, as we did in 2024 and aim to do in 2025.



Geovanne Tobias – CFO

I would also like to draw attention to a statistical issue. We have now reached a portfolio of R\$ 400 billion in January, Antônio. So, if you look from 2023 to 2024, we went from R\$ 355 to R\$ 397 bn. In other words, we added over R\$ 40 billion. In our estimate, which we are setting at single digits, we are talking about another almost R\$ 40 billion in growth within this scenario. Of course, we are taking a somewhat cautious approach. The Guidance is our compass. It is where we aim to go. And as the environment improves, we also have an important part, which is the funds already allocated to this sector.

So, we are talking about five to nine, from a base of practically R\$ 400 billion. It is important for you to know that it is not just the financial sector that finances agribusiness. We represent about a quarter of the financing needs. They also finance through their own supply chain. They do barter. They go to seed and input suppliers. Now, these producers, especially soy producers, who were showing large margins, many went beyond their capacity. They went into debt, made investments, leased more land. So, they will have to do some de-risking. We are going through this process alongside them, helping them to extend their terms, in a way. We repudiate those who choose to go for judicial recovery first, instead of coming to us and seeking a negotiated solution, because we have been here for over 200 years. Banco do Brasil has always been the main partner of agribusiness.

Agribusiness is what it is today thanks to the partnership with Banco do Brasil. And we will continue to be here. So, we believe it is a growth proposal in line with the capacity, size of this sector, and our market share. We know there is increasing competition in this segment, coming from cooperatives and private banks, but we do intend to maintain growth, which is what expands our gross financial margin. If you look at the growth of our margin, almost 12% this year, it reflects the expansion of our credit portfolio. Very much in line with our overall vision.

Antônio Ruetten – Bank of America

It's clear, thank you.

Janaína Storti – Head of IR

Thank you, Antônio. I will move on to the next question, now from Renato Meloni, from Autonomos.

Renato Meloni – Autonomous

Hello, everyone. It's great to see you all again. Thank you for the question. My question is about the Guidance. If we consider the midpoint, the net interest income is slightly above the growth of the loan portfolio, which would imply an increase in the net financial margin. However, I imagine that with this level of Selic, your margin with market should rise significantly. I am imagining that this could imply a compression of your margin with clients. I would like to understand if you are seeing this and where this compression comes from, especially with the shift here in the portfolio more towards individuals and even the mention of doing more credit cards next year. Within this context as well, if you could include in the response, for this year the players seem to be more conservative, going for safer lines, and it seems that you now have an opposite view. What are you seeing differently from the market for this? Thank you.

Geovanne Tobias – CFO

Without a doubt, Renato, our focus will be on payroll loans. It is our flagship. Almost half of our individuals loan portfolio is payroll loans. We have grown and have over 20% market share in



this payroll loan market, mainly for the public sector, and as we bring greater growth to the individuals loan portfolio, we can expect better margins overall for Banco do Brasil. Because the margin from Agribusiness is practically stable, it is what it is. We even managed to improve the margin from Agribusiness a bit, due to a larger volume of equalizable revenues. So, we are practically disbursing 100% of these equalizable resources. We will still start discussing the 2025/2026 harvest, but we have a growth avenue in a very safe way, as we say, fishing in our own pond, to recover some of the market share in credit cards, in our own payroll loans, and we are quite optimistic about the possibility of expanding more in private payroll loans. Today, there is practically a market reserve in the private payroll loan market, where large private banks have already established agreements with large companies, along with their HR departments, to offer private payroll loans to those workers.

The proposal that is approaching is to open this market, and you will inevitably have a much larger volume. This market is currently R\$ 40 billion and can potentially reach R\$ 300 billion, you understand. So, of course, we aim for what we consider a fair market share for Banco do Brasil. I had 10% of the INSS payroll loan market. Now I am approaching 15%, 16% market share. If I aim for 10% market share in private payroll loans, I am talking about adding another R\$ 30 billion to my portfolio. So, at least 10% of a portfolio of over R\$ 300 billion in individual loans. This will certainly reflect in a better margin with my individual loan clients. Of course, the treasury had a fantastic performance. We took advantage of these volatilities to generate a large gain in the treasury. We will still have this more stressed scenario throughout 2025. So, our treasury will be active, but there is indeed an opportunity for us to slightly improve the growth of the margin with the client.

The margin with the client grew by 1%, QoQ, but as this mix improves, we can bring more margin.

Tarciana Medeiros - CEO

Geovanne, I would add that we are not going against the market. In fact, it is a developed strategy that takes into account the composition of our credit portfolio. I think the more conservative growth in Agribusiness, as Prince and Geovanne have already explained well. Our future growth perspective in Agribusiness takes into account, for example, the growth of our renegotiated portfolio for 2024/2025. This renegotiated portfolio, at this moment, does not impact the Guidance, but as this client recovers in 2025/2026, we will see an impact again. So, we continue to closely monitor the Agribusiness client. Geovanne mentioned that it is a more stable growth in the Agribusiness portfolio. When I look at the segment of micro and small businesses, we have grown strategically in lines supported by Federal Government programs. We had record disbursements, considering the lines that bring risk mitigators and support from constitutional funds as guarantees. When we look at personal loans, it is very healthy and very safe growth in lines that we know and know how to manage. So, payroll loans for the public sector, as I mentioned at the beginning, we will continue to focus on it. There is always room to grow in public sector payroll loans. The INSS payroll loan, a line where we have not yet reached our fair market share. So, we have room to grow. We grew over 30% in 2024 and have prospects for 2025. We have several other individual loan lines, such as home equity. It is a line where we still have a very small portfolio, but there is a market to be conquered. It is also in our focus for individual credit in 2025. And the opportunity of the eSocial payroll loan. It is a safe line. As I mentioned before in a press conference, for Banco do Brasil, the eSocial payroll loan, private payroll loan, is a blue ocean. It is our smallest credit portfolio, but in the model that is being developed, it is a credit line that aligns very well with what Banco do Brasil knows how to do. It aligns very well with the public sector payroll loan model. So, with a lot of security and a contracting system that allows us to be very optimistic about growth in this line. So, in the individual loan market, we indeed have a slightly higher declared growth in the Guidance, but it does not reflect a much higher risk growth, a much higher risk exposure. On the contrary, we have the perspective of growth in very safe lines in the individual loan market. So, I would say it is not going against the market, but in line with the strategy of our portfolio composition.



Janaína Storti – Head of IR

Renato, just to add a bit regarding the margin, you mentioned the spread. We like to guide you by looking more at the total net interest margin. When we look at the global spread, I think we tend to see some stability at this spread level. And just reinforcing with you the dynamics, we are indeed in a scenario of rising interest rates, which positively influences my treasury, as we have the remuneration of excess liquidity mostly in government bonds. I saw, even this quarter, an increase in liquidity, so this also influences the treasury numbers. We see part of it passing through clients, part through the market. So, positively, credit revenue as well. I reprice the portfolio, this happens throughout the year as we rotate the portfolio, and in terms of financial expenses, I have the effect of the savings cap on half of my funding. So, this also limits the growth of expenses a bit. So, I think all of this is reflected in the Guidance we provided to you, adding that Patagonia contributes less this year. It is there in the margin with market, contributing less this year than we saw in 2024, but it is still an important margin growth for Banco do Brasil as a whole.

Felipe Prince – CRO

Yes, Janaína, we have demonstrated the ability to recover the margin decline from Patagonia. It was already smaller in 2024 compared to 2023, and we showed the ability to recover this margin with our business in Brazil. 2025 will be no different, given the entire situation in Argentina, the expectation is that we will have a smaller contribution from Patagonia than in 2023, but I think our ability was confirmed in 2024, that we are indeed capable of recovering this margin even with the reduction coming from Patagonia.

Renato Meloni – Autonomous

Perfect, thank you.

Janaína Storti – Head of IR

Well, our next question comes from Marcelo Mizrahi from Bradesco BBI. Good to see you on the sell side now, Mizrahi. We can't hear you. Still nothing. We are not receiving your audio. Just a moment, everyone. We will check what happened with Mizrahi's audio. In the meantime, if the technical team can let me know, we will move on to the next question and come back to Mizrahi afterwards. I will now pass it to Guilherme Grespan from JP Morgan.

Guilherme Grespan – JP Morgan

Hi, good morning, everyone. Thank you for the presentation and for opening up for questions. On my side, I would like to explore a little more if you could provide some more visibility on the renegotiated portfolio. There has been a significant increase. The renegotiated portfolio itself rose 5% QoQ. When we look at the extended portfolio, which is more related to rural, it jumped from R\$ 38 billion to R\$ 45 billion, and even looking at the new flow, moving a bit from the stock to the new flow, it also saw a significant jump of almost 30% QoQ in new contracts. If you could provide a little visibility. Apparently, a lot is coming from individuals as well. What type of product, what type of program is potentially putting more pressure on this portfolio? If you could also comment, in a second moment, on Resolution 4966, how you are handling this portfolio. If the provision you disclosed about the impact of the resolution has any contribution, greater or lesser, from this renegotiated portfolio in terms of provisioning level. Thank you.

Felipe Prince – CRO



Perfect, Guilherme. Very good question. I think I mentioned earlier that the growth of the renegotiated portfolio is heavily based on agribusiness renegotiations. As I said, it is part of our portfolio of solutions for mitigating agribusiness risk. This is even provided for in the Rural Credit Manual, where we have to be very strict.

What is allocated in our renegotiated portfolio must be operations where there is a possibility of restoring the payment capacity of these clients. I think an interesting metric for you to observe is that delinquency is under control. We have returned to having the lowest delinquency in terms of renegotiated loans in the market. Obviously, it has an impact on Resolution 4966, as I move from the incurred loss provisioning model to provisioning this portfolio based on expected loss. Obviously, referring back to agribusiness, if you look at the short and medium-term environment, it is still challenging. Although, from medium to long term, it is clearing up, but as you have to implement a model in this situation, it is natural that in terms of expected loss, it requires more provisioning. This is indeed a relevant component in the constitution of the provisions we made in our starting balance of Resolution 4966. We are quite confident that this reinforcement was very prudent, and obviously, it involves our ability to deliver the recovery of these credits to reduce the risk and, obviously, as the scenario improves, these provisions will move, and naturally, with the improving scenario and reducing delinquency perspective, it is natural that there may eventually be a release of provisions, and this will transition to results. So, I repeat, it will depend a lot on the market dynamics going forward. There is the component, as you well observed, of individuals and companies, but I think these two are more controlled. Now, what we really need is to couple these renegotiated solutions for our agribusiness clients, mitigate this risk, and I think we will have some good surprises to present here from the second half onwards. This is what is in our flight plan, and this is what we intend to deliver throughout 2025.

Janaína Storti – Head of IR

Thank you. Now, let's go back to Marcelo Mizrahi from Bradesco.

Marcelo Mizrahi – Bradesco BBI

Can you hear me now? Well, first, it's a huge honor to be here with you on the call and not in closed meetings, and a huge responsibility to speak with my former colleagues and the sell-side people, whom I admire greatly, who do a fantastic job and from whom I have learned a lot over the years. Going straight to the point, talking about the growth of the personal loan portfolio, you mentioned a lot about the desire, and if the private payroll loan product is really feasible, that you have every interest in doing it. The bank has all the technology and knowledge to do this. The question would be: How much of the Guidance from 7% to 11% includes this? Or is this an upside to the Guidance? The impression is more to understand this dynamic. That's the first question.

The second question, in Agribusiness, I think it's really important for us to understand what the turning point would be. What will be this turning point? But you seem quite constructive with the prospects. So, the question would be: If we really have a record harvest, then, isn't the growth, the Guidance, low? If we are going to have a recovery in the payment condition of the producer. Are you seeing this possibility of delinquency? At least the Central Bank data from December showed a decline. So, if we start to see this dynamic turning, isn't the growth in Agribusiness low? And lastly, a question: Patagonia a few years ago was a bad word. I mean, Patagonia was a problem. What to do with Patagonia? And now, suddenly, it has become a cool business. So, the banks in Argentina are talking about quadrupling the credit portfolio, talking about business expansion, and we haven't talked about Patagonia anymore. Will we be talking about Patagonia doubling its size in a year? I think I wanted to ask a bit about your thoughts on this asset that suddenly became an interesting asset again?



Geovanne Tobias – CFO

Well, since you are debuting as sell-side for Bradesco, we will give you a break because we had asked everyone to ask one question, and you asked three. Let's go, starting with private payroll loans. Yes, we are already including it here, and the expectation, at least from what we have heard, from us and the banks as a whole, FEBRABAN as well, from the government, is that they should announce and start this process in the first quarter. Dataprev is handling all the technological part, and we are waiting here to be able to join and ride this wave. Of course, it will start in a small way, from a small base, so the growth rates will be very high. Because there is nothing, we even have a little private payroll loan.

It is important to say that we have R\$ 1 billion, something like that. But it is very little. We will be able to grow a lot and quickly. But, without a doubt, our emphasis continues to be on public sector payroll loans. Do not forget the minimum wage adjustment. This has an impact on expanding this consignable margin, whether at the INSS level or for public servants. We intend to continue growing. Last year, for 2024, we had set personal loans between 6% and 10%. Despite the interest rate increase, we are more constructive with individuals loans, mainly in segments with lower margins, more adjusted for risk with a better return, that is where we will be delivering this growth. We prefer to underpromise and overdeliver. So, as we execute this budget, it is a compass for the entire organization, and we see the need to go beyond, as, for example, with companies, we ended up delivering much more than we had committed to. So, we have a very constructive view for individuals loans, despite the higher interest rate scenario.

Regarding Agribusiness, I think it is still expected to have an aggravated risk in the first and possibly the second quarter. So, our perspective is to see this improvement, and Prince already mentioned this in the previous response. From the second half, we expect to have good surprises to present to the market regarding Agribusiness. So, you can expect stabilization in the first half and improvement from the second half. Lastly, Patagonia. Without a doubt, investment banks are knocking on our door, all with fantastic ideas. What we perceive, without a doubt, is that the environment in Argentina has improved a lot. The pricing, including that of financial agents, is better. There is a large number of financial institutions and payment institutions in Argentina. A consolidation of this market is expected, and we are attentive to this. We have our team working there, as president, as directors. The board is ours, we have control of this bank, with over 80% participation. We do have an expectation of growing credit as opportunities arise. But in a very controlled way, looking closely at the risk issue. There are opportunities happening there that we are taking advantage of.

There is data from Patagonia in our statements that you will see. The credit portfolio is already growing. There is an environment, a legal framework, that facilitates, for example, vehicle financing, the recovery of this quickly, even faster than here in Brazil. So, we are looking at all the opportunities, and we believe that yes, it is an important part of our global strategy to be close and relevant to our clients, in all the geographies where they are. We are also the largest financier of foreign trade, and Argentina is a major trading partner of Brazil.

So, there is no way we cannot look at this. Patagonia is our spearhead in that market. With stabilization, we have many opportunities. So, you will indeed hear us talking about Patagonia more frequently.



Tarciana Medeiros - CEO

Geovanne, in the individuals loan Guidance, I think it is interesting, still talking about the eSocial payroll loan, I think it is interesting to bring up a point. The market will start to observe from the beginning of the eSocial payroll loan contracts. There may be a migration from personal credit to the eSocial payroll loan. So, we also expect a reduction in the financial system's overall risk in the individual credit line. The trend is that those who currently access individual credit at a very high rate, but are employees of private sector companies, will have access to a credit line with a more appropriate interest rate for payroll loans, due to the security it brings. So, there is also a trend, if this line confirms the success we expect for it, of greater stability regarding individuals loan delinquency when we observe individual credit uptake.

So, in this Guidance of 7% to 11%, we also have the forecast of a migration, in our case, of our portfolio, of those who have individual credit but are the target audience for the eSocial payroll loan, from one line to another, where I will significantly reduce the risk. So, when we say, "Wow, it's a blue ocean for the bank, we will navigate this ocean." Why isn't the Guidance much higher? If there is a possibility of going from R\$ 40 to R\$ 300 billion? Because we have other credit lines that, very responsibly, if the client is the target audience for this line, we will seek to offer them the migration from a more expensive, riskier credit line to a cheaper credit line more suitable for their payment capacity. So, I believe in a second half where we will have a more accurate view of what happens with these two portfolios. But this Guidance range is very appropriate for individuals loans.

Geovanne Tobias – CFO

Assuming that there is indeed the launch and development of this product now, from the first quarter to the second quarter.

Felipe Prince – CRO

And if I may add, I think Tarci was right because this line brings deleveraging to the system, and by bringing deleveraging, it restores the payment capacity of families, and we have great confidence in our execution capability. To give you an idea, Mizrahi, our clients, whom we call 'proventistas,' who receive their payments through the bank, have a product holding that is up to 10 times higher than clients who do not have their payments processed by the institution. From the moment I attract clients who start receiving their payments through the bank, my ability to leverage business with this new base is also very broad. This is not captured in our Guidance, but it is a positive externality that will come from the eSocial payroll loan.

Regarding Agribusiness, you asked if the growth would be modest. We are talking about an Agribusiness GDP growth of 6%. So, the range here of 5% to 9% is not modest, especially if you consider the successive double-digit base growth we have been experiencing since 2023. Lastly, to avoid appearing opportunistic, Patagonia, since we took over, we have implemented a strategy for what should be done with that bank, and our strategy has been executed with full discipline by the expatriate colleagues who run the bank in Argentina. Obviously, we had a treasury mandate in the first few years, which was an opportunity that arose, but now we already identify that credit opportunities will appear, and we want to expand to take advantage of these opportunities, but with full security.

Today, among comparable peers, Patagonia, publicly traded in Argentina, has the lowest delinquency rate. So, the idea is to leverage this business, keep delinquency under control, generate satisfactory net margins, and even offer complementary services to our clients, especially those in the wholesale segment who have this two-way business relationship with Argentina.



Tarciana Medeiros - CEO

Prince, when we talk about capacity, I think it's interesting, just to give an example of our ability to occupy the consignable margin when we talk about personal credit. A few days ago, the extension of the term for the INSS agreement was announced. This week, in these first few days, we have already surpassed 50,000 renegotiated contracts under the new INSS term. So, I think this says a bit about our capacity when it comes to quickly seizing opportunities. I think this example highlights our capability.

Marcelo Mizrahi – Bradesco BBI

Thank you.

Janaína Storti – Head of IR

Thank you. Well, everyone, I will now pass to the next question from Gustavo Schroden, from Citi.

Gustavo Schroden - Citi

Hi, good morning, everyone. Thank you for the opportunity. Some of my questions have already been answered, but I think there is a theme in the Guidance that is drawing attention and has not been explored yet. It is the issue of service revenue growth. If we look at the midpoint of the Guidance, we are talking about practically zero growth, depending on the lower end, we are talking about a decline. Normally, this line is not a perfect correlation, but it moves according to credit activity. There is a slight correlation, but it always moves in that direction. There is portfolio growth, as you mentioned. I would like to understand if there is something here that we should pay attention to. What is behind, so to speak, a more conservative service revenue growth Guidance?

We also look at efficiency because operational expenses tend to grow slightly above inflation at the midpoint, according to our calculations. So, I wanted to explore this topic with you. Thank you.

Geovanne Tobias – CFO

Good point, Schroden. What's happening here? With the 4966, credit-related revenues will no longer be accounted for here; they have to go to the margin. And those credit fees that you used to receive upfront, you will have to defer over the life of the contract. So, this was even a topic we debated when setting up the Guidance. How were we going to guide you? What to expect, looking now at service revenue excluding revenues from credit operations? If we were to make the comparison, I would have an arrangement of -3% to 3%, 4% growth. So, we even changed the way we present this and are working with a value range of 34 to 36 billion. And here it will be predominantly revenues from investment funds, insurance companies, and payment methods. Drawing attention here, in the case of payment methods, for example, an important part of Cielo that comes entirely through equity equivalence and we do not reallocate it here, you understand. Here it is predominantly fees. Current account fees, consortia, which is another one that also contributes a lot, capital market fees. So, even for a matter of comparison, looking at the 2025 Guidance compared to 2024, it ends up losing a bit of comparability. So, we opted to play it here. But without a doubt, if I were to try to neutralize in both, we are talking about growth close to 4% to 5%. We look at this line as the important line to cover our administrative expenses. We have this coverage ratio at the level of 90%, almost 100%. We aim to have 100% growth. In fact, in terms of administrative expenses, we



have been constantly working on process improvement, technology investment, but at the same time controlling costs. We have, and this is a mantra for Banco do Brasil, we have to learn to do more with less. We have an extremely competitive efficiency ratio of 25%. We managed to reduce the Guidance, as we were increasing the credit risk in rural areas, we will tighten the belt more to try to at least bring some gain from expense savings. We reduced it down and still delivered expense growth below the low end of our Guidance. So, this is what we will continue to monitor throughout 2025. The salary adjustment for the category has already been given. We have a natural turnover of the bank's employee base, around 1,500 employees annually who leave the bank. We are calling a thousand now, specifically for technology and always with the aim of seeking efficiency improvements. So, you would have to look at these two lines this way. Administrative expenses, we will probably be in line with inflation and as there is a slightly higher expense in the technology part, we will be looking to control that. That's what we will do.

Gustavo Schroden - Citi

Very clear, thank you.

Janaína Storti – Head of IR

Thank you, Schroden. The next question comes from Eduardo Nishio, from Genial.

Eduardo Nishio - Genial

Good morning, everyone. Good morning, Tarciana, Geovanne, Prince, Janaína. My question is a bit of a follow-up regarding private payroll loans, eSocial. If you could, you who are close to Brasília, probably close, being part of the discussions with the government, I would like to know a little more about this product. What happens when, for example, the employer stops paying? How is delinquency handled? What happens with delinquency when, for example, the employee is leaving one house and going to another? How will you handle this? The product itself. And if you have any inference of what the delinquency of this product could be at a more cruising level. Probably higher than INSS payroll loans, public employee payroll loans. But if you have an idea to give us, it would help a lot to understand the product better. Thank you.

Tarciana Medeiros - CEO

Thank you. Regarding the product details, the regulation is under construction and is about to be released. But I would say that it is a payroll loan product very much in line with the public sector payroll loan. So, the details that will come in the regulation will be very much in line with guiding how the contracting process, consignment, margin annotation, and margin deannotation will be done. We will have these details in this regulation. I can't tell you all the details of this product here. It is under construction with the Ministry of Labor, the Ministry of Finance, and Dataprev, which is the government's technology company that will operate it, but I would say very much in line with the product details we already have for the public sector payroll loan. Regarding delinquency. I can't tell you what the delinquency rate would be in the future because it will be a very new product that opens up the possibility for an entire market.

But certainly, at least here speaking of Banco do Brasil, it will be a product that is in line with the delinquency we observe for the private sector payroll loan. So, the expertise, when I say that Banco do Brasil will enter this market strongly, we will bring the expertise we have from the relationship with employers in the public sector. So, understanding who the employer is, understanding their consistency in paying eSocial, understanding that there are no delays in the employer's relationship with the government in paying social benefits like FGTS, INSS, etc. These are important signals that we will evaluate, also from employers, to analyze the risk of



granting this credit. So, I believe that taking this type of analysis into account, for example, it will be a delinquency very much in line with what we already observe in the private sector payroll loan that we have today at the bank. Regarding the guarantee of receipt in case of dismissal or departure of this employee, just as it happens in the public sector, if an employee is dismissed, if they leave, the amount of the outstanding balance of the credit is debited in their contractual termination. So, for eSocial, I believe it will work in the same way. But I don't want to anticipate regulation details because it hasn't been released yet. So, we need to wait for this regulation for me to give you confidence in the answers I am providing. But one thing you can be sure of: the same risk analysis we do for granting public sector payroll loans, for analyzing the employer's risk, we will replicate for granting eSocial payroll loans.

Geovanne Tobias – CFO

Tarci, if I may also bring a bit to the debate here. It is important for those who are formulating this to take into consideration that, if they truly want a line that allows access to cheaper credit, these liquidation guarantees must be present. Because if not, it is almost like a non-payroll loan. It ceases to be a payroll loan.

Tarciana Medeiros - CEO

I think it brings some security to talk about this. We cannot forget that it was the same government that, 20 years ago, successfully launched the public sector payroll loan. So, this public sector payroll loan has evolved over the years. Today we have the best payroll loan granting model. With online margin annotation, with online credit availability. So, I believe that this legislation that is being designed, this regulation, is very much in line with the product that has existed for 20 years, which is already a success. So, we cannot forget that it is the same government that designed this product back then and that it is a successful product. It completely changed the dynamics of granting credit to individuals in the Brazilian market and now comes with the regulation and standardization of payroll loans for the private sector. This disintermediation, where it will be possible to access directly through eSocial, without the need for a direct relationship with the employer, will make a big difference in granting this credit.

Eduardo Nishio - Genial

It's very clear, thank you.

Janáína Storti – Head of IR

Great. Thank you, Nishio. The next question comes from Pedro Leduc, from Itaú.

Pedro Leduc - Itaú

Good afternoon, everyone. Thank you for the opportunity to ask the question. I would like to quickly return to the issue of capital and the decision to slightly alter the dividend payout. I ask because exactly a year ago there was a decision to raise the payout, historically from 40% to 45%, and you always have a horizon of a few years where you map out the capital offenders, what will accumulate. And when I look back a year, I didn't see many surprises. The profit was in line, the portfolio was in line. The Resolution 4966 was already known to be coming. I wanted to understand first what has changed in the last 12 months that forced you, it wasn't forced, but it was more prudent for you to lower the range a bit. Working with a payout range. Also, preparing myself a bit for how I should think about 2026, which has several other offenders. Finally, if we are heading towards the end of the year with capital a bit more comfortable, above the nine that Geovanne aimed for, should we think about the full payout, at 45%, or reinvest



this more in growth opportunities? Thank you.

Geovanne Tobias – CFO

Thank you, Leduc, for the question. All of this crosses our minds. When we set a payout of 45, we were recognizing what the market had already been saying. We had a principal capital above 12. We made several moves during this period, in addition to improving the remuneration for our shareholders. We delisted Cielo, we repurchased shares in BB Seguridade. So, we had a reinvestment, so to speak, of this capital in some areas that were important to us, in addition to remunerating you. We also had this expectation of operational risk. So, we were quite conservative because we don't want to have to impose restrictions later.

We want to continue expanding this business, our business, with the aim of generating sustainable results.

Looking at 2024, we had the worsening of Agro risk, which without a doubt, I could be delivering even higher results if it weren't for the risk aggravation and the consumption of part of my result due to the increase in provision for this portfolio. A portfolio that was at 0.5% to 1% risk and has now gone to 2.5%. So, as we are currently transitioning to 4966, which is the implementation of expected loss, in 2026 we also have an adjustment that will come in market risk. So, we consider all of this. Of course, we are aiming to pay the 45%. But we will, in a more conservative manner now at the beginning, which is why we opened the range, to give us this flexibility to seek this optimization of our capital, aiming at an ICP of 11%. December came below due to the volatility of the curve opening and the exchange rate.

We have already mentioned this, but it is already returning to 11% again and depending on the generation of this result, the control of rural delinquency, we will be able to remunerate the 45%. But we will let the first semester run to observe, and then we will have this commitment with you, between 40% and 45%. We will have to continue paying IHCD. So, there are some other variables that we are also considering within the three-year vision and we have a limit of what we consider prudent, which is above the regulatory.

So, all of this makes us make this estimate in a conservative manner and always perceiving the opportunities. If there are opportunities for us to grow inorganically, we will look at them, but always to avoid creating a constraint on principal capital. Especially since we don't have room to expand this capital via the capital markets. Basically, that's it.

Felipe Prince – CRO

I could even contribute quickly, Pedro. Just so it doesn't seem like we didn't know what was coming. All of this was part of our capital plan composition. I think Geovanne even mentioned all the strategic actions we took during 2024, it wasn't a small amount. It was a 45% payout, the Cielo tender offer, the repurchase of Bambras, the repurchase of BB Seguridade shares, the return of HCDI. We implemented operational risk at the base of 2024, so that was already in place. And what led us to propose to our Board of Directors this flexibility to manage the bank, the operation, from then on? Our ambition is to generate organic capital to finance the RWA. I think now we have a very robust balance starting from 4966 and a capacity to mitigate risk, especially in those portfolios that have been offending us, like Agro. So, the idea now is for our organic capital composition to be sufficient to finance our RWA and that's what we intend to pursue going forward. Especially since, as Geovanne mentioned, there is the FRTB discussion, but there is still uncertainty in the industry about when that will happen. Whether it will actually be in January 2026 or if it will be postponed.

Anyway, due to these issues, having a clearer scenario, more opportunities that may arise, we chose to have this prerogative. But reaffirming here, our intention is to reach the end of the



year and, who knows, pay the 45%.

Pedro Leduc - Itaú

Thank you all and congratulations on the year.

Janaína Storti – Head of IR

Thank you. We are reaching the end here. I will call on Carlos Gomez Lopez from HSBC to ask the last question. Carlos, I don't know if you want to ask your question in Portuguese or in English.

Carlos Gomez Lopez - HSBC

Let's try. My question is the classic one about economic plans. The fact that you have a very large provision, especially this quarter, R\$ 1.6 billion. We know that we have one more year of provisions for economic plans. There was an increase of almost 41% in 2024. What is the expectation of how much will have to be provisioned during the year 2025 and will it finally be the last year we will have this expense at the bank? Thank you.

Felipe Prince – CRO

Perfect, Carlos. Good question. Geovanne, in fact, is our representative at FEBRABAN, and we have been negotiating quite strongly to ensure we continue to be covered by the agreement with the Supreme Federal Court. The idea is either to extend this agreement or, obviously, to have the issue definitively resolved, as this would also create room for us to make agreements or create a trigger for claimants to seek us out. We already seek them out quite a bit, but we would also like to be sought out to resolve these demands. In the short and medium term, you will continue to see, at least for the next two years, some pressure related to economic plans. Because either we maintain the provision levels to be able to meet an agreement that will be extended or, which is our main desire here, and we have reaffirmed in other disclosures, establish a strategy to promote agreements and definitively end this demand. So, that's what we are aiming for. Our mandate here is to resolve this as quickly as possible. Obviously, respecting the economic conditions to make and establish these agreements, so that we can clear this issue and, of course, provide our investors with the full remuneration of the results we deliver.

Carlos Gomez Lopez - HSBC

The expectation is that we will have an extension and, therefore, more than a year of provisions in the future?

Geovanne Tobias – CFO

Within the scope of FEBRABAN, Carlos, together with the Attorney General's Office and the Supreme Federal Court. So, the deadline to finalize this agreement expires now in June, but I know that FEBRABAN is already in talks to have a final decision regarding these economic plans.

Janaína Storti – Head of IR

Thank you, Carlos. I had announced the last question, but another one came in, another analyst in the queue. I will close then with Nicolas Riva from Bank of America. Nicolas, you can ask your question.



Nicolas Riva – Bank of America

Great. Thank you, Janaína and the team, for the question. I only have one question, as always, about the AT1 bond. The AT1 bonds were at 8.74%, given that you conclude every 6 months. My conclusion from everything you said during the call, I am also looking at the Guidance, and as we have seen the performance, around 20% of RSPL and dividend payout between 40% and 45%. And I think I heard you say that the idea is to generate capital organically to finance higher-risk assets. My impression is that there is no rush for the bank to call the 8.74% bond and also if you were to issue, you could not issue significantly below what you pay. But I would like to hear your opinion on this. Thank you.

Geovanne Tobias – CFO

Hello, Nicolas. Thank you for the question. This is an issue we have been analyzing. We are looking at the opportunities; we have until April to call this AT1, but we will not do it in April. We might do it in October. The coupon numbers that investment banks have been showing me are not as attractive as I would like to see, and I have been able to issue these bonds internally, with very attractive rates and solid volumes. So, we are looking at this carefully and, depending on how our capital performs throughout 2025, we might analyze the opportunity to call in the second half. If there is a market and if there is a financial opportunity for us to issue new AT1 abroad, we will consider it. But at this moment, I don't see that happening.

Nicolas Riva – Bank of America

Ok. Just a follow-up. Would you consider calling that 8.74% and keeping your AT1 in the local market instead of the global market?

Geovanne Tobias – CFO

Yes, it is possible. As long as it is more financially attractive to issue internally, then I can execute the call and make this national issuance. But only from a financial standpoint.

Janaína Storti – Head of IR

Great, thank you!

We have now concluded our Q&A session. I would like to thank everyone for being here and to say that we are also available for any additional clarifications with the IR team. Thank you and see you next time.